



an interesting over, he was heard arguing with an ice cream vendor. The dispute was over price. Bomsî showed the vendor his bag and told him, *“I have brought everything from home, even water. The only thing I can’t bring is the ice cream because it melts. But I will not allow you to cheat me.”* Now Bomsî was a cricket aficionado. He cheered both teams enthusiastically. After the lunch break a player completed a century and Bomsî was ecstatic. He called the ice cream vendor, grabbed his bag and generously distributed ice creams all around. Within the next three hours he did this twice more. After the game ended he settled his bill with the vendor and even gave him a hefty tip. This man who had fought over the price of an ice cream in the morning had distributed ice creams by the dozen to people he did not even know. When asked about what he had done, he replied, *“I love cricket and I love to gamble on the game. When I win I like to celebrate. All my bets paid off. It’s the bookies who are now paying for the ice creams, so let the people enjoy.”*

Mental Accounting is an idea developed and championed by Richard Thaler. It underlines one of the most common and costly mistakes people make when dealing with money. It is the tendency to place different values to the same sum of money depending on how it has been acquired and the effort required to acquire it. Traditional economic theory assumes that money is fungible, meaning that one type of monetary unit can replace another. This means that Rs. 100 in lottery winnings, Rs. 100 in salary and a Rs. 100 tax refund should have the same meaning as they have the same purchasing power. But studies indicate this is not so with individuals. People mentally separate their money in different accounts, giving each account a different significance.

The three instances mentioned earlier demonstrate how mental accounting affects people’s behaviour.

Going back to Episode one Dilip started with Rs. 2 lakhs and now has nothing. To him his loss is only Rs. 2 lakhs because his gains in the stock markets were merely his winnings from his original capital and so not his own money. He treated the two accounts separately. Sonia, however, does not suffer from this bias.

In Episode two, every time John paid the bill with hard cash he felt the pain of seeing money go out of his pocket. Sunil did